where

P is the current stock price;
D_1 is the value of next year's dividends;
g is the constant growth rate in perpetuity expected for the dividends; and
r is the discount rate.

If we apply the Gordon model, holding constant the dividend (D_1) and discount rate (r), a high price (P) implies a high growth rate (g). The same intuition applies if we substitute for dividends, sales, earnings, cash flow, or operating income.

When Lakonishok et al. compared the growth rates implied by the market price to the actual growth rates appearing after the selection date, they found a remarkable result—one that supports De Bondt and Thaler's research, and Graham's intuition—*value stocks grow fundamentals faster than glamour stocks*. The high prices paid for glamour stocks imply that the market expects them to generate high rates of growth. Contrary to this expectation, however, the growth rates do not persist. The evidence shows quite clearly that growth rates of glamour stocks either fall to the growth rates of value stocks or even overshoot them and become lower. In other words, growth stocks' fundamentals mean revert as De Bondt and Thaler suggested. Rather than anticipate this mean reversion, however, the market tends to tie forecasts to past growth rates, pricing glamour stocks far too optimistically relative to value stocks. Given these expectations, glamour stocks' growth reliably disappoints investors, and out-of-favor value stocks reliably supply positive surprises.

Lakonishok et al's landmark research established three propositions central to value investment. First, many different investment strategies that involve buying out-of favor value stocks outperform glamour strategies and beat the market. Second, the likely reason that these value strategies work so well relative to the glamour strategies is due to the fact that the actual growth rates of fundamentals (earnings, sales etc.) of glamour stocks relative to value stocks after selection are much lower than they were in the past, or as the multiples on those stocks indicate the market expects them to be. That is, market participants appear to consistently overestimate future growth rates of glamour stocks relative to value stocks, failing to appreciate that mean reversion is the more likely outcome. Third, value strategies appear to be less risky than glamour strategies.

This conclusion raises an obvious question: if we are aware that value stocks outperform glamour stocks, why is it that investors continue to favor glamour stocks over value stocks? One possible explanation suggested by Lakonishok et al. is that investors simply do not know about the phenomenon. Benjamin Graham's advocacy of value investment strategies, beginning